

HUMAN RESOURCES POLICY DOCUMENT

COMPENSATION & BENEFITS
POLICY

A Comprehensive Guide for All Employees

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Department:	Human Resources
Applies To:	All Full-time, Part-time & Contract Employees

1. PURPOSE & SCOPE OF THIS POLICY

This Compensation & Benefits Policy is a comprehensive guide governing all aspects of employee remuneration, rewards, and benefits at our organization. It is designed to ensure transparency, equity, and consistency in how employees are paid, how bonuses are determined, what insurance and retirement programs are available, and how statutory obligations are fulfilled across jurisdictions.

This policy applies to all individuals employed by the organization, regardless of their employment type (full-time, part-time, contract, or temporary), across all offices and locations, including both Indian operations (subject to Indian labor law) and US operations (subject to applicable federal and state laws).

1.1 Objectives of the Policy

- Attract and retain top-quality talent through competitive and equitable compensation structures.
- Ensure full legal compliance with all applicable national and local labor laws, tax regulations, and statutory contribution requirements.
- Provide employees with a clear and detailed understanding of all components of their compensation package.
- Maintain internal pay equity and eliminate disparities based on gender, ethnicity, or other protected characteristics.
- Support employee financial wellness, security, and long-term retirement planning.
- Create a consistent, fair, and motivating rewards framework that aligns individual performance with organizational goals.

1.2 Who This Policy Covers

This policy applies to:

- All permanent full-time employees across all departments and levels.
- Part-time employees (with benefits prorated based on hours worked, unless otherwise specified).
- Contract employees engaged through third-party staffing agencies (certain provisions may not apply; refer to your contract agreement).
- Probationary employees (basic salary and statutory benefits apply; performance bonuses may be prorated or withheld pending confirmation).
- Employees on secondment, deputation, or inter-company transfers.

□ Real-World Example – Scope of Policy

An employee, Riya Sharma, joins as a software engineer in Bengaluru on January 15, 2025. Her employment is governed by this Compensation & Benefits Policy from her Day 1. She

receives her base salary, is enrolled in the company's PF and ESI schemes, and becomes eligible for the year-end performance bonus after completing her six-month probation period.

2. SALARY STRUCTURE & COMPONENTS

The organization follows a well-defined total compensation framework that is structured to meet legal requirements and market benchmarks. Employee salaries are determined through a job evaluation process, competitive benchmarking using industry salary data, and internal equity analysis.

2.1 Components of the Cost to Company (CTC) – India

For employees in India, the total CTC (Cost to Company) is broken down into the following components:

Component	Description	Tax Treatment
Basic Salary	Core component; typically 40-50% of CTC. Basis for PF, gratuity, and leave encashment calculations.	Fully taxable
House Rent Allowance (HRA)	Allowance for accommodation expenses. Typically 40-50% of Basic Salary.	Partially exempt under Sec 10(13A) if rent is paid
Special Allowance	Flexible component used to balance the CTC structure.	Fully taxable
Leave Travel Allowance (LTA)	Covers travel expenses during approved leave. Paid once or twice a year.	Exempt twice in a 4-year block for actual travel expenses
Medical Allowance	Fixed monthly allowance for medical expenses.	Taxable; reimbursements up to Rs. 15,000/year were exempt (pre-2018)
Performance Bonus	Paid based on individual and organizational performance.	Fully taxable in the year of receipt
Provident Fund (PF) – Employer	12% of Basic Salary contributed by employer.	Not part of take-home; retirement benefit
Gratuity (Actuarial)	Calculated as per Payment of Gratuity Act. Paid upon exit after 5 years.	Exempt up to Rs. 20 lakh under Sec 10(10)

□ Salary Breakup Example – India

Arjun Mehta, a Senior Analyst, has a CTC of Rs. 12,00,000 per annum. - Basic Salary: Rs. 4,80,000 (40%) - HRA: Rs. 2,40,000 (50% of Basic) - Special Allowance: Rs. 3,06,000 - LTA: Rs. 48,000 - Employer PF: Rs. 57,600 (12% of Basic) - Gratuity Provision: Rs. 23,077 -

Performance Bonus (variable): Up to Rs. 1,20,000 (10% of CTC) His monthly take-home (gross) is approximately Rs. 75,000 before taxes.

2.2 Compensation Components – United States

For employees based in the United States, the compensation structure includes the following:

Component	Description	Notes
Base Salary / Hourly Wage	Core fixed compensation agreed at time of hire.	Reviewed annually or per market adjustment cycles
Overtime Pay	Non-exempt (hourly) employees receive 1.5x regular rate for hours > 40/week.	Per FLSA regulations
Annual Performance Bonus	Discretionary or target-based bonus paid annually.	Based on individual rating and company performance
Sign-on Bonus	One-time payment to new hires, often with a clawback clause if employee leaves within 1-2 years.	Subject to tax withholding
Equity / Stock Options (RSUs)	Restricted Stock Units vesting over 3-4 years for eligible roles.	Applicable to senior and tech roles
Commissions	Variable pay for sales and business development roles.	Per individual commission plan
Shift Differentials	Premium pay for night shifts, weekends, or hazardous work.	Varies by role and location

□ Salary Example – USA

Sarah Johnson, a Marketing Manager in Austin, TX, earns a base salary of \$95,000/year. She receives a target annual bonus of 15% (\$14,250) based on performance. Her total target cash compensation is \$109,250. She also received a sign-on bonus of \$5,000, which includes a 12-month clawback provision.

3. PAYROLL ADMINISTRATION

The organization is committed to timely, accurate, and transparent payroll processing. Payroll is managed by the HR/Finance department in coordination with approved payroll software and, where applicable, third-party payroll service providers.

3.1 Payroll Dates & Pay Cycles

India – Monthly Payroll

- Salary for a calendar month is processed on or before the last working day of that month.
- In cases where the last date falls on a public holiday or weekend, salary is credited on the preceding working day.
- The payroll cut-off date (for capturing attendance, leaves, and other variables) is the 20th of each month.
- Any changes (increments, deductions, reimbursements) submitted after the cut-off will be processed in the following month's payroll.

❑ Important – Payroll Cut-off

All expense claims, attendance corrections, or salary revision letters must be submitted to HR by the 20th of each month to ensure inclusion in the current month's payroll. Late submissions will be carried forward.

USA – Pay Cycles

- Most US employees are paid on a bi-weekly (every two weeks) or semi-monthly (twice a month, e.g., 1st and 15th) schedule.
- Exempt (salaried) employees are paid semi-monthly or bi-weekly depending on their state and employment agreement.
- Non-exempt (hourly) employees must submit approved timesheets by the pay period end date for processing.
- Direct deposit is the standard and preferred payment method. Paper checks are available upon written request.

Pay Cycle	Frequency	Typical Pay Dates
Monthly (India)	12 times/year	Last working day of month
Semi-Monthly (USA)	24 times/year	1st and 15th (or 15th and last day)
Bi-Weekly (USA)	26 times/year	Every other Friday

Pay Cycle	Frequency	Typical Pay Dates
Weekly (Hourly, some US states)	52 times/year	Every Friday

3.2 Payslips & Salary Statements

- Digital payslips are generated and distributed via the HR portal/HRMS on or before the salary credit date.
- Each payslip includes a detailed breakdown of earnings, allowances, deductions (PF, ESI, TDS/Income Tax, etc.), and net take-home pay.
- Employees should review their payslip each month and report any discrepancy to HR within 7 working days of receipt.
- Payslips serve as official salary proof for loan applications, visa purposes, and other financial verifications.

□ Payslip Dispute Process

If Meera Nair notices a missing LTA component in her payslip for March, she should: 1. Log into the HRMS portal and raise a 'Payroll Discrepancy' ticket. 2. Attach her approved LTA claim as supporting documentation. 3. HR/Payroll will investigate within 3 working days. 4. If valid, a correction will be processed as an adjustment in the next payroll cycle.

3.3 Salary Revisions & Increments

- Annual salary reviews are conducted in Q1 (January–March) of each year, with revisions effective April 1st.
- Increment percentages are determined by performance ratings (from the appraisal cycle), market benchmarking, and budget availability.
- Mid-year increments may be granted for promotions, role changes, or critical talent retention, subject to management approval.
- All salary revision letters are issued by HR and must be acknowledged by the employee before processing in payroll.

Performance Rating	Increment Range	Bonus Eligibility
Outstanding (5/5)	12% – 18%	100% – 130% of target bonus
Exceeds Expectations (4/5)	8% – 12%	80% – 100% of target bonus
Meets Expectations (3/5)	4% – 8%	60% – 80% of target bonus
Partially Meets (2/5)	0% – 4%	0% – 50% of target bonus
Does Not Meet (1/5)	0%	Not eligible

4. BONUS STRUCTURE & INCENTIVE PAY

Bonuses are a key component of the organization's total rewards strategy. They recognize exceptional performance, drive alignment with organizational goals, and reward both individual and team contributions. The organization maintains several types of bonus programs, each governed by specific eligibility criteria and payout structures.

4.1 Annual Performance Bonus (APB)

- The Annual Performance Bonus is awarded once a year, typically in April/May (India) or Q1 of the following year (USA), following the completion of the performance appraisal cycle.
- Eligibility: All confirmed employees who have completed at least six months of service in the performance year.
- Calculation basis: Individual performance rating + Departmental performance score + Company financial performance.
- Target bonus percentages vary by band/grade level and are communicated at the time of hiring or promotion.
- Employees on a Performance Improvement Plan (PIP) at the time of bonus payout are not eligible.

Bonus Formula

APB Calculation Formula

Annual Performance Bonus = Target Bonus Amount × Individual Performance Multiplier × Company Performance Factor
Example: Target Bonus = Rs. 1,00,000 | Individual Multiplier = 1.20 (Exceeds Expectations) | Company Factor = 0.90 (Company met 90% of targets)
APB = Rs. 1,00,000 × 1.20 × 0.90 = Rs. 1,08,000

4.2 Festival / Statutory Bonus (India)

- As per the Payment of Bonus Act, 1965, employees earning up to Rs. 21,000 per month are eligible for a statutory bonus.
- The minimum bonus payable is 8.33% of the annual salary (or Rs. 100, whichever is higher), and the maximum is 20%.
- Festival bonus (Diwali/Puja bonus) may be paid as a separate goodwill gesture in addition to the statutory bonus, at the discretion of management.
- Employees in their first year of employment are entitled to a bonus only if they have worked for at least 30 working days.

□ Statutory Bonus – Real Example

Ramesh, a data entry operator earning Rs. 18,000/month, is eligible for statutory bonus under the Act. His annual salary is Rs. 2,16,000. At the minimum rate of 8.33%, his bonus = Rs. 17,993. The company opts to pay a 10% bonus = Rs. 21,600 as a Diwali bonus, credited in October.

4.3 Sign-On Bonus

- Offered to senior hires or candidates with competing offers, subject to management and HR approval.
- Typically disbursed in the first payroll cycle after joining.
- A clawback provision applies: if the employee leaves within 12 months (India) or 24 months (USA) of joining, a proportionate amount must be repaid.
- The clawback schedule: 100% repayable if leaving within 6 months; 50% if leaving between 6-12 months.

4.4 Referral Bonus

- Employees who refer a candidate that is subsequently hired and completes 90 days of employment are eligible for a referral bonus.
- Referral bonus amounts: Rs. 20,000 – Rs. 75,000 (India) | \$1,500 – \$5,000 (USA) depending on the seniority and criticality of the role.
- HR roles, Recruitment team members, and hiring managers for the specific role are not eligible for referral bonuses.
- Referrals must be submitted through the official HRMS/ATS before the candidate applies independently.

4.5 Spot Bonus / Instant Recognition Award

- Managers can nominate employees for a Spot Bonus for outstanding contributions outside their regular role, exemplary teamwork, or crisis management.
- Value: Rs. 5,000 – Rs. 25,000 (India) | \$500 – \$2,000 (USA), subject to budget availability.
- Spot bonuses require approval from the Department Head and HR Business Partner.
- These awards are non-recurrent and do not affect the APB calculation.

5. INSURANCE BENEFITS

The organization provides a comprehensive suite of insurance benefits to protect employees and their families against health crises, accidents, and other unforeseen circumstances. All insurance programs are reviewed annually during open enrollment periods.

5.1 Group Health Insurance – India

- All confirmed employees are covered under the company's Group Mediclaim Policy from their date of joining (subject to a 30-day waiting period for non-accidental claims).
- Coverage extends to the employee's spouse, dependent children (up to age 25), and dependent parents (optional add-on at subsidized rates).
- Sum Insured: Rs. 3,00,000 per family (base) | Optional top-up available: Rs. 3,00,000 to Rs. 10,00,000 at employee's cost.
- Pre-existing diseases are covered after a waiting period of 12 months.
- Cashless hospitalization is available at 5,000+ network hospitals across India.
- Reimbursement claims for non-network hospitals must be submitted within 30 days of discharge.

What is Covered – Group Health Insurance India

In-patient hospitalization (minimum 24 hours), Day-care procedures (200+ procedures listed), Pre and post hospitalization (30 days before, 60 days after), Ambulance charges (up to Rs. 2,000 per hospitalization), Maternity benefit (normal delivery Rs. 50,000; C-section Rs. 75,000; new-born covered from Day 1), OPD (if opted by organization), Mental health and psychiatric treatment, Ayurveda/Homeopathy (approved facilities)

5.2 Employer-Sponsored Health Insurance – USA

- The organization offers a choice of health insurance plans through major carriers (e.g., Aetna, Blue Cross Blue Shield, UnitedHealthcare).
- Plans available: PPO (Preferred Provider Organization), HMO (Health Maintenance Organization), HDHP with HSA (High Deductible Health Plan with Health Savings Account).
- The organization covers 70-80% of the monthly premium; the remaining cost is borne by the employee through pre-tax payroll deductions.
- Enrollment is offered at time of hire and during Open Enrollment (typically October–November for January 1 effective date).
- Special Enrollment is permitted within 30 days of a qualifying life event (marriage, birth, adoption, loss of other coverage).

Plan Type	Annual Deductible	Employer Premium Share	Best For
PPO	\$500 individual / \$1,000 family	75% of premium	Employees who want broad network access
HMO	\$250 individual / \$500 family	80% of premium	Employees who prefer lower premiums with a primary care physician
HDHP + HSA	\$1,500 individual / \$3,000 family	70% of premium	Healthy employees who want to save in an HSA for future medical costs

□ USA Health Insurance – Real Example

David Chen enrolls in the PPO plan. His annual premium is \$6,000/year. The company pays 75% = \$4,500; David pays 25% = \$1,500 (deducted pre-tax at \$125/month). David visits an out-of-network specialist: he pays his \$500 deductible first, then 30% coinsurance until he reaches his out-of-pocket maximum of \$4,000 for the year.

5.3 Group Term Life Insurance (GTLI)

- All employees are automatically enrolled in the company's Group Term Life Insurance policy from Day 1.
- India: Coverage = 3x Annual CTC (up to a maximum of Rs. 1 Crore). Additional top-up available at employee's cost.
- USA: Coverage = 2x Annual Base Salary (up to a maximum of \$500,000). Supplemental coverage up to 5x salary available.
- Employees must nominate a beneficiary through the HRMS within 30 days of joining.
- Death benefit is paid to the nominated beneficiary in case of the employee's death (natural or accidental, during the policy period).

5.4 Personal Accident Insurance (PAI)

- Covers accidental death, permanent total disability, permanent partial disability, and temporary total disability.
- India: Coverage up to Rs. 50 Lakhs for accidental death or permanent total disability.
- Temporary total disability benefit: Weekly compensation (up to 104 weeks) to compensate for loss of income during recovery.
- This coverage is active 24x7, both at work and outside work hours.

5.5 Workers' Compensation – USA

- The organization maintains Workers' Compensation insurance as required by law in all states where it operates.
- Workers' Compensation provides coverage for: medical expenses arising from work-related injuries or illnesses, partial wage replacement during inability to work, rehabilitation costs, and death benefits to dependents.
- All work-related injuries must be reported to the manager and HR within 24 hours of occurrence.
- An incident report must be completed within 48 hours. Delay in reporting may affect claim eligibility.
- The organization strictly prohibits retaliation against any employee who files a Workers' Compensation claim in good faith.

□ Workers' Compensation Example – USA

Jake Martinez, a warehouse associate in Ohio, injures his back while lifting a pallet. He reports the injury to his supervisor immediately. HR files a claim with the Workers' Comp insurer. Jake receives 2/3 of his average weekly wage as a temporary total disability benefit while on medical leave. His medical bills are covered entirely by the insurer. After 8 weeks, he returns to a modified-duty role during his recovery.

6. EXPENSE REIMBURSEMENTS

The organization reimburses employees for legitimate business expenses incurred in the course of performing their official duties. All reimbursements must comply with the guidelines outlined below and are subject to manager and finance approval.

6.1 General Reimbursement Principles

- Only actual expenses supported by valid original receipts (or e-receipts) are eligible for reimbursement.
- Personal expenses, upgrades beyond company policy, and expenses for non-work-related activities are not reimbursable.
- All claims must be submitted within 30 days of incurring the expense via the HRMS/expense management tool.
- Claims submitted after 30 days require special approval from the Department Head and Finance.

6.2 Travel Reimbursement

- Air Travel: Economy class for domestic travel. Business class permitted for international flights exceeding 6 hours (Senior Manager and above) or if economy is unavailable.
- Train Travel: First AC (1A) for Senior Manager and above; Second AC (2A) for others, for overnight journeys.
- Local Conveyance: Actual taxi/cab fare with receipt; for personal vehicle use, reimbursement at Rs. 7/km (two-wheeler) or Rs. 12/km (four-wheeler) in India, or IRS mileage rate in USA.
- Hotel: Per diem rates apply based on destination city tier (e.g., Tier 1 cities – Rs. 5,000/night; Tier 2 – Rs. 3,500/night). Actual amount reimbursed up to policy limits.

Employee Level	Hotel Per Diem (Metro – India)	Hotel Per Diem (USA)
Individual Contributor	Up to Rs. 4,000/night	Up to \$175/night
Manager	Up to Rs. 6,000/night	Up to \$225/night
Senior Manager / Director	Up to Rs. 8,000/night	Up to \$275/night
VP / C-Suite	Actuals (with approval)	Actuals (with approval)

6.3 Mobile Phone & Internet Reimbursement

- Employees who use their personal mobile phone for official communication are eligible for a monthly mobile reimbursement.

- India: Up to Rs. 1,500/month for Managers and above; Rs. 750/month for Individual Contributors.
- USA: Up to \$75/month for employees who use their personal phone for business purposes.
- A copy of the mobile bill or internet bill must be submitted along with the claim.

6.4 Meal & Entertainment Reimbursement

- Meals during official travel or approved client meetings are reimbursable as per the following per diem: India – Rs. 1,000/day (city); USA – \$75/day.
- Client entertainment expenses (dinners, events) require pre-approval from the Department Head.
- Alcohol expenses are not reimbursable unless explicitly approved in advance by the VP/CFO.

6.5 Remote Work / Work-From-Home Reimbursement

- Employees approved for permanent or hybrid remote work are eligible for a one-time WFH setup allowance: India – Rs. 10,000; USA – \$500 (to cover ergonomic furniture, webcam, etc.).
- Monthly internet stipend: India – Rs. 500/month; USA – \$50/month.
- Receipts must be submitted through HRMS within 60 days of purchase.

7. STATUTORY CONTRIBUTIONS – INDIA (PF & ESI)

The organization strictly complies with all statutory requirements under Indian labor laws, including mandatory contributions to the Employees' Provident Fund (EPF) and Employees' State Insurance (ESI) as applicable.

7.1 Employees' Provident Fund (EPF)

Legal Basis

Governed by the Employees' Provident Funds and Miscellaneous Provisions Act, 1952. Mandatory for all establishments with 20 or more employees.

Applicability

- All employees earning a Basic Salary of up to Rs. 15,000 per month are mandatorily covered under EPF.
- Employees earning above Rs. 15,000/month may voluntarily contribute to EPF (employer is not required to match above the Rs. 15,000 ceiling unless the establishment's policy allows it).
- The organization's policy mandates EPF enrollment for all employees regardless of salary threshold, with contributions calculated on actual Basic Salary (up to Rs. 15,000 for statutory purposes).

Contribution Structure

Contribution Type	Percentage	Directed To
Employee Contribution	12% of Basic Salary	EPF Account (100%)
Employer Contribution (EPF)	3.67% of Basic Salary	EPF Account
Employer Contribution (EPS)	8.33% of Basic Salary	Employees' Pension Scheme
Employer Admin Charges	0.50% of Basic Salary	EPF Administration
EDLI Contribution	0.50% of Basic Salary	Employee Deposit Linked Insurance

Interest & Withdrawals

- EPF earns interest as declared by the EPFO each year (recent rate: 8.25% p.a. for 2023-24).
- Partial withdrawals are permitted for specific purposes: housing construction/purchase, higher education, marriage, medical emergencies (as per EPF scheme rules).
- Full withdrawal is allowed on retirement (age 58), or after 2 months of unemployment.

- UAN (Universal Account Number) is generated for every new employee enrolled in EPF, enabling portability across employers.

□ EPF Calculation Example

Priya earns a Basic Salary of Rs. 30,000/month. For EPF purposes, contributions are capped at Rs. 15,000. - Employee contribution: $12\% \times \text{Rs. } 15,000 = \text{Rs. } 1,800/\text{month}$ - Employer EPF contribution: $3.67\% \times \text{Rs. } 15,000 = \text{Rs. } 551/\text{month}$ - Employer EPS contribution: $8.33\% \times \text{Rs. } 15,000 = \text{Rs. } 1,250/\text{month}$ Priya's monthly EPF credit = Rs. 1,800 (employee) + Rs. 551 (employer EPF) = Rs. 2,351 After 20 years at 8.25% interest, the corpus can grow significantly.

7.2 Employees' State Insurance (ESI)

Legal Basis

Governed by the Employees' State Insurance Act, 1948. Applicable to establishments with 10 or more employees in notified areas/industries.

Applicability

- All employees with gross salary up to Rs. 21,000/month (Rs. 25,000 for persons with disabilities) are covered under ESI.
- Employees earning above this threshold are not eligible for ESI and must be covered under the company's Group Medclaim policy instead.

Contribution Rates

Contributor	Rate
Employer	3.25% of Gross Wages
Employee	0.75% of Gross Wages
Total	4.00% of Gross Wages

Benefits Under ESI

- Medical Benefit: Full medical care for the insured and their family at ESI dispensaries and hospitals. No cap on expenditure.
- Sickness Benefit: 70% of average daily wages for a maximum of 91 days in a year during medically certified sickness.
- Maternity Benefit: 100% of average daily wages for 26 weeks (for first two children); 12 weeks thereafter.

- Disablement Benefit: 90% of daily wages for temporary disablement; permanent disablement pension for life.
- Dependents' Benefit: Pension for dependents in case of work-related death.
- Funeral Expenses: Rs. 15,000 payable to dependents on death of the insured.

8. RETIREMENT BENEFITS – USA (401(k) Plans & Social Security)

The organization is committed to supporting employees' long-term financial security through robust retirement benefit programs in compliance with ERISA and applicable federal and state laws.

8.1 401(k) Retirement Savings Plan

Plan Overview

- The organization offers a 401(k) plan administered through [Provider Name, e.g., Fidelity/Vanguard].
- Eligible employees may enroll from their first day of employment. Auto-enrollment at 3% contribution rate applies unless the employee opts out.
- Contributions are made on a pre-tax (Traditional 401(k)) or post-tax (Roth 401(k)) basis, or a combination of both.

Contribution Limits (2025 IRS Limits)

Contribution Type	2025 Limit
Employee Elective Deferrals	\$23,500/year
Catch-Up Contribution (Age 50+)	Additional \$7,500/year
Catch-Up Contribution (Age 60-63)	Additional \$11,250/year (SECURE 2.0)
Total Employer + Employee Limit	\$70,000/year (or 100% of compensation)

Employer Match

- The organization matches 100% of the first 3% of employee contributions, and 50% of the next 2%.
- Maximum employer match = 4% of eligible compensation.
- The employer match vests according to a 3-year graded schedule: 0% after Year 1, 33% after Year 2, 67% after Year 3, 100% after Year 4.

401(k) Employer Match Example

Lisa earns \$80,000/year and contributes 6% to her 401(k) = \$4,800/year. - Company match on first 3% = $100\% \times (\$80,000 \times 3\%) = \$2,400$ - Company match on next 2% = $50\% \times$

$(\$80,000 \times 2\%) = \800 - Total employer match = \$3,200/year Lisa's total annual 401(k) contribution = $\$4,800 + \$3,200 = \$8,000$ If Lisa leaves after 2 years, she retains only 33% of the employer match = \$1,056.

Investment Options

- Employees may choose from a diverse menu of investment options including index funds, target-date funds, bond funds, and company stock (if applicable).
- A default target-date fund is assigned based on expected retirement year if no election is made.
- Free financial planning consultations are available through the 401(k) plan provider.

8.2 Social Security & Medicare Contributions (USA)

The Federal Insurance Contributions Act (FICA) requires both employees and employers to contribute to Social Security and Medicare:

Tax Type	Employee Rate	Employer Rate
Social Security	6.2% (up to \$176,100 wage base)	6.2% (matching)
Medicare	1.45% (no wage cap)	1.45% (matching)
Additional Medicare Tax	0.9% (wages > \$200,000)	None
Total FICA	7.65% (up to cap)	7.65% (up to cap)

Social Security provides retirement income starting at age 62 (reduced) or 67 (full retirement age for those born after 1960), disability income, and survivor benefits. Medicare provides health coverage starting at age 65.

8.3 Roth IRA & Other Voluntary Retirement Savings

- While not employer-sponsored, HR provides educational resources on Roth IRA, Traditional IRA, and HSA contributions as part of the overall financial wellness program.
- Employees enrolled in the HDHP health plan can contribute to a Health Savings Account (HSA): \$4,300 (individual) / \$8,550 (family) in 2025, with an additional \$1,000 catch-up for those 55+.
- Employer contributes \$500 (individual) / \$1,000 (family) annually to the HSA for enrolled employees.

9. RETIREMENT BENEFITS – INDIA

Retirement planning is an integral part of the organization's commitment to employee welfare. In addition to EPF and EPS (covered in Section 7), the following retirement benefits are provided:

9.1 Gratuity

Legal Basis

Governed by the Payment of Gratuity Act, 1972. Payable to employees who have completed a minimum of 5 continuous years of service with the organization.

Eligibility & Calculation

- Gratuity is payable on: superannuation (retirement), resignation after 5 years, death or disability (no minimum service requirement in these cases).
- Formula: $\text{Gratuity} = (\text{Last Drawn Monthly Basic Salary} + \text{DA}) \times 15/26 \times \text{Number of Years of Service}$
- Maximum gratuity exempt from tax: Rs. 20,00,000 under the Income Tax Act.

□ Gratuity Calculation Example

Sunita has worked for 12 years and 7 months. Her last drawn Basic Salary is Rs. 60,000/month. Years of service = 13 (rounded up since tenure > 12 years 6 months, per Supreme Court ruling) $\text{Gratuity} = (60,000 \times 15/26) \times 13 = \text{Rs. } 34,615.38 \times 13 = \text{Rs. } 4,50,000$ This is below the Rs. 20 lakh tax-exempt limit, so the full Rs. 4,50,000 is tax-free.

9.2 National Pension System (NPS)

- The organization offers NPS as a voluntary, market-linked retirement savings vehicle.
- Employees can contribute to Tier I (with lock-in until retirement) and Tier II (liquid, no lock-in) accounts.
- Employer contribution to NPS (Tier I) up to 10% of Basic + DA is tax-deductible for the employer and exempt from income tax for the employee under Section 80CCD(2).
- Employees can claim an additional Rs. 50,000 deduction under Section 80CCD(1B) for their own NPS contributions.

9.3 Superannuation Fund

- The organization contributes to an approved Superannuation Fund for eligible employees (Managers and above), at 15% of Basic Salary.
- On retirement at age 60, the employee can withdraw 1/3rd of the corpus as a tax-free lump sum and use the balance to purchase an annuity.

- Benefits are paid out in case of death or disability before retirement age.

10. LEAVE ENCASHMENT, SUPPLEMENTAL BENEFITS & WELLNESS

10.1 Leave Encashment

- Earned/Privilege Leaves (EL/PL) that are not availed by the end of the year can be encashed (maximum 15 days per year).
- On exit (resignation/retirement), all accumulated ELs are encashed at the last drawn Basic Salary.
- Formula: Leave Encashment = (Monthly Basic Salary / 26) × Number of Leave Days
- Leave encashment at retirement is exempt from income tax up to Rs. 25,00,000 for non-government employees.

10.2 Employee Assistance Program (EAP)

- All employees and their immediate family members have access to a confidential Employee Assistance Program offering:
 - Counseling sessions (up to 6 sessions/year) with licensed mental health professionals – free of charge.
 - Legal assistance for personal legal matters (will drafting, property disputes, consumer rights).
 - Financial counseling (budgeting, debt management, investment planning).
 - Grief and trauma support.
- All EAP interactions are strictly confidential and are not shared with HR or management.

10.3 Flexible Benefits Plan (FBP) – India

- The organization offers a Flexible Benefits Plan allowing employees to structure certain allowances based on their personal requirements.
- FBP components (annually rebalanceable): Fuel & Maintenance Allowance, Books & Periodicals, Uniform Allowance, Children's Education Allowance (Rs. 1,200/child/year, 2 children max), Meal Vouchers/Sodexo.
- Employees must declare their FBP preference at the start of each financial year (April) through the HRMS. Mid-year changes are not permitted except in exceptional circumstances.

10.4 Childcare & Parental Support

- Maternity Leave: 26 weeks (paid) for first two children, 12 weeks for third child onwards (as per Maternity Benefit Act, 1961, India). In the USA: per FMLA – 12 weeks unpaid, with employer-paid top-up of 8 weeks at 60% pay.
- Paternity Leave: 5 paid days (India), 2 weeks (USA).

- Adoption Leave: 12 weeks for the primary caregiver (India); 12 weeks FMLA (USA).
- Creche Facility: Available at offices with 50+ women employees (as per Maternity Benefit Act). Creche reimbursement of up to Rs. 3,000/month where facility is not available on-site.

10.5 Additional Benefits

- Corporate Gym Membership: Subsidized access to partner gyms (India: Rs. 5,000/year reimbursement; USA: \$600/year wellness reimbursement).
- Transport Allowance: Company-provided shuttle services at major office campuses. Fuel/transport reimbursement where shuttle is unavailable.
- Professional Development: Rs. 25,000/year (India) or \$2,000/year (USA) for approved courses, certifications, and conferences.
- Home Loan Interest Subsidy: Employees with more than 5 years of service are eligible for a subsidized home loan interest assistance program (in partnership with select banks).

11. PAY EQUITY & NON-DISCRIMINATION IN COMPENSATION

The organization is committed to ensuring that compensation is determined on the basis of job requirements, skills, experience, performance, and market value – never on the basis of gender, race, ethnicity, caste, religion, sexual orientation, disability, or any other protected characteristic.

11.1 Pay Equity Audits

- HR conducts annual pay equity audits to identify and remediate any statistically significant pay gaps across protected demographic groups.
- The audit methodology uses regression analysis controlling for legitimate pay factors such as role, level, performance rating, and tenure.
- Any identified unexplained gaps are corrected through a pay adjustment pool in the annual salary review cycle.

11.2 Salary Transparency

- The organization maintains internal salary bands for each role and grade level.
- Employees may request to view their salary band range by contacting their HR Business Partner.
- Employees are not prohibited from discussing their own compensation with colleagues (per NLRA, USA, and emerging Indian legal norms).

□ Pay Equity Example

During the 2024 pay equity audit, HR identified that women in the 'Senior Engineer' band earned, on average, 4.2% less than men after controlling for all legitimate factors. Management approved a targeted pay adjustment pool of \$180,000 to close the gap for 12 affected employees in the April 2025 review cycle.

12. POLICY VIOLATIONS, GRIEVANCES & ESCALATION

12.1 Reporting Concerns

Any employee who believes there is an error in their compensation, an unauthorized deduction, or a violation of this policy should:

1. Document the issue in detail with supporting evidence (payslips, approval emails, etc.).
2. Raise a formal grievance through the HRMS Grievance Portal or via email to payroll@company.com.
3. HR will acknowledge the complaint within 2 working days and assign an investigator.
4. A resolution will be communicated within 10 working days.
5. If dissatisfied, escalate to the Head of HR or the HR Ombudsperson.

12.2 Consequences of Policy Violations

- Fraudulent expense claims, payroll manipulation, or misrepresentation of attendance are treated as gross misconduct and may result in disciplinary action up to and including termination.
- Managers who approve fraudulent claims are jointly liable and may face disciplinary action.
- Recovery of overpayments: The organization reserves the right to recover any overpaid salary or allowances through future payroll deductions (with written notice and installment options).

12.3 Policy Review & Updates

- This policy is reviewed annually by the HR Compensation Team, Finance, and Legal departments.
- Employees are notified of material changes via email and the HR portal at least 30 days before the effective date.
- The most current version of this policy is always available on the Company Intranet and HRMS.

Contact HR

For all compensation and benefits queries: Email: hrcomps@company.com HRMS Portal: hr.company.com HR Helpdesk (India): +91-XXXXXX-XXXXX (Mon-Fri, 9 AM – 6 PM IST) HR Helpdesk (USA): 1-800-XXX-XXXX (Mon-Fri, 8 AM – 6 PM ET)

— **END OF COMPENSATION & BENEFITS POLICY** —

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